Final Year Internship report

CHAPER NO: 01

INTRODUCTION

ORGANIZATION INTRODUCTION:

Organization Name	Sadaqat Limited
Year of Foundation	Nov,01,1987
Authorized Capital	Rs.100,000,000
National Tax Number	0688413-0
General Sales Tax Number	040-3520-9003-55
Business Nature	Individual Company
Organization/Company Type	Public Limited Company
Principal Activity	Manufacturing
Major Product(s)/Service(s)	Weaving, Dyeing, spinning & garments
Bi Product(s)/Service(s)	No
Mailing Address	Sadaqat limted 2-km Sahianwala road khurrianwala Faisalabad
Phone No.	041 111010111
Fax	041 4364240
Website	www.sadaqatgroup.net
E-Mail	Sadaqat.limited@sadaqatgroup.net

1.1 Organization Overview:

Sadaqat Limited is a progressive export-oriented home textile and apparel manufacturing unit expanding tremendously both in quantities and financial terms. The Company is now a completely vertically integrated company having its own knitting, processing and stitching facilities with new projects of spinning and weaving. The Company has always opted for state-of-the-art technologies for cost efficient and quality products with minimum environmental adversities. The Company is engaged in a wide range of home textile and apparel products and aims to achieving significant levels of consumer loyalty by delivering high quality products. The Company has now become established business in Pakistan under the visionary leadership and determination of founding family. Sadaqat Limited is an unlisted public company and is headquartered at Khurrianwala, Faisalabad with its production facilities at same location.

The Company laid its foundation in home textile in early 90s and boasts a long history of success over the years. Moreover, the Company stepped into apparel segment and is emerging as a premium quality exporter of knitted and woven apparel across the globe to provide one stop solution to its customers. Sadaqat Limited has been able to achieve PKR 37.6 billion revenue during financial year2022. The Company has global footprints with major export markets in Europe, UK, North America, South America, Asia, Middle East, Australia and New Zealand. Half a century ago, a textile trading family known as the Sadaqat family started their home textile business in Chiniot; a neighboring city to Pakistan's textile hub Faisalabad. The newly established business was based on the core values of honesty and quality.

Visionary footsteps, honesty and diligence have led the Sadaqat legacy to thrive and expand vertically, while still maintaining its reigning position in the home textile industry of Pakistan. over the years, Sadaqat limited has grown due to the strong leadership and management by a team of motivated and qualified directors who energize and synergize the strength of more than 5000 employees at a well-equipped and state of the art manufacturing facility. Another key strength of the company is its product diversification and highly automated manufacturing equipment.

In 2018 Sadaqat Limited added new business line diversifying its portfolio with the introduction of state-of-the-art Garment Manufacturing unit producing Woven (Denim/Non-Denim) and Knitted Garments.

We source our raw materials both locally and globally, ensuring our products are of the highest quality standards whilst remaining competitively priced. Regular overseas travel ensures consistent product research and development and latest trend updates. Our design centers are equipped with CAD technology to offer innovative and fashionable product ranges. At Sadaqat

Limited, we combine the skill and workmanship of our culture with the globally recognized best practices to deliver products of exceptional quality to all of our global and domestic customer base.

1.2 History:

- Sadaqat– Established in 1951
- As a weaving unit under the dynamic leadership of Mr. Mukhtar Ahmed.
- Incorporated as a private limited company in 1987.
- Converted into public limited company in 2008.
- Today Sadaqat is one of the largest home textiles exporters, enjoying excellent reputation in the international market.
- Sadaqat is servicing large customer base supplying top quality merchandise to leading group of home textiles industry across the globe.
- Design, Innovation, Research and Development and high quality are our bench marks.
- Established in 2008 – Sadaqat Global Limited.
- Established in 2011 – Sleep world International LLC.
- Established in 2017 – Sleep world Australia PTY Limited.

1.3 Global Mission:

One That Becomes hallmark of success for others. New technologies and open trade laws have allowed the global market to be better connected, cohesive and significantly smaller for premier international businesses. At Sadaqat Ltd, we take these open markets as opportunities towards acquiring a more diverse clientele, and have positioned ourselves as a truly international company through various measures.

To be responsive to the demands of a global economy, we have invested heavily in our infrastructure by growing our global presence and improving our logistical operations. we aim in continuing to strengthen exports from Pakistan by strictly adhering to quality standards for weaving, dyeing, finishing and all other processes. Furthermore, we strive to raise the benchmark of the quality of product representing Pakistan in the global textile market by taking stringent measures for quality assurance. Company is committed to maintain highest standards of quality by committing indispensable resources to meet customers' expectations. Establishing a benchmark to get recognized as an industry leader in the dynamic and competitive textile environment.

1.4 Goals of Sadaqat LTD:

Sadaqat Limited aims to represent the quintessential heritage of Pakistan and assimilate it with the latest trends prevalent in the world market. Sadaqat Limited has a history of successful business operations based on professional and ethical practices, with a focus to achieve total customer satisfaction.

- Timely delivery of the goods to our customer due to efficient control over production variables and stable logistical support.
- New product development in a short period of 14 days or less.
- Effective communication.
- Most of our operations are computerized. Buyers have online access to orders status, approvals status and shipping documentation and information. Timely and hones feedback to the customers on all aspects of production and shipment.

1.5 BUSINESS VALUES:

- **Integrity:**
  In our activities and relationships with all stakeholders by acting honestly and transparently
- **Respect:**
  Following ethical principles across the company to promote respect, fairness and openness.
- **Innovation:**
  Through process automation and investment in the state-of-the-art technology to achieve competitive advantage.
- **Excellence:**
  In high quality products to our customers to exceed expectations and provide good value for money.
- **Diversity & Trust:**
  By developing and implementing policies and principles which encourage diversity and create a culture of trust, confidence and dependability.
- **Sustainability:**

By focusing on the economic, social and environmental impacts arising from the value creation process to create sustainable long-term value for stakeholders.

1.6 Business Philosophy:

At Sadaqat Ltd, we understand the importance of brands and maintaining them to the highest standards. We support and supply to some of the biggest brands in the industry locally as well as internationally, and we also produce several luxury lines of our own. Brand value, if properly inculcated, can lead to exponential returns for business and perseverance to make our brand our strength. We strive to enhance our brand equity by ensuring that all needs and specifications of our clients are met in the most convenient and hassle-free environment with strict adherence to quality standards.

1.7 International Presence:

Pakistan:

- Sadaqat Limited – Composite Unit of Home Textiles
- Sadaqat Employees Provident Fund
- Khas Retails Limited
- Well recognized domestic retail brand
- A domestic house of complete home solution
- Provides an exclusive range of men and women wear

United Kingdom:

- Sadaqat Global Limited
- Based in Manchester
- Having own show room and warehouse
- Offers marketing, design and distribution services
- Jay Franko UK Ltd

United States of America:

- Sleep World International LLC
- Based in New York
- Having own show room and warehouse
- Offers marketing, design and distribution services

Australia:

- Sleep World Australia PTY Limited

China:

- Sadaqat HK Ltd

Associated Companies:

- Violeta GmbH
- Sadaqat Gulf DWC-LLC
- Status of the Company
- Public Limited Unlisted Company (ESC/large scale manufacturing company)

Company Registration (CUIN) & NTN:

- CUIN 0016987
- NTN 0688413-0

1.8 Financial Capital:

Sadaqat Limited utilizes the optimal mix of corporate debt and equity to minimize its cost of capital as well as to maintain its current and liquid ratio customized to its business model and risk profile. The financial trends of past 6 years are identified with quantitative and numeric growth in business evidently showing the increase in working capital requirement each year. Furthermore, the Company being export oriented entity is maneuvering subsidized long- and short-term financing facilities resulting in ameliorated financing cost.

1.9 Manufacture Capital:

The company is committedly investing and has planned investments. In infrastructure development in terms of land, building, plant and machinery to augment production capacities and addition of new segments within the sector. The entity is keen to invest in automation to eliminate redundant production process and wastage of time while driving towards lean manufacturing. The PPC and CCD departments keep an eye on capacity utilization and addresses concerns to ensure that resource are effectively utilized.

1.10 Human Capital:

The organization has developed its HR policies and procedures to keep the motivation level on higher side which in turns results into optimal production as well as product quality. The entity assigns due value to its human capital and utilizes punctiliously designed methods to improve the capacity of its employees which in turn proves beneficial to the employees as well as the organization along with its contribution towards enabling economy in shape of skilled resource. Moreover, the incentives in form of bonuses and health facilities are provided to all employees of company.

1.11 Corporate Social Responsibility (CSR)

The Company has adhered significant attention towards investing in corporate social responsibility initiatives which include education, healthcare, social welfare, women empowerment, climate change, ecological balance, social diversity, social consciousness, corporate governance, and environmental protection in line with its corporate social responsibility policies. The Company has formed a Sustainability Committee to oversee the planning and implementation of CSR activities as the best interest of its stakeholders is prioritized. The Company deems returning to the community an essential operation and does so by actively participating in various social initiatives. The company has introduced collective action to ensure a thriving and inclusive society while pursuing green and digital transition. The company has directed its resources and efforts to undertake preventive action against environmental deterioration within the organization operations across all functions. The Company has maintained its strong commitment to work in the best interest of all the stakeholders, specifically keeping in view the needs of community where it operates and creates a progressive impact for the people. The company has a proven history of aiming for an inclusive economic system, providing a sustainable and circular economy, and endeavoring to make sustainability driven investments. A meaningful share of CSR funds goes to education and health sector. Furthermore, the detailed analysis of CSR activities is presented in the published Sustainability Report of the Company.

1.12 Environment, Health and Safety (EHS)

The Company has ardently devoted itself to act ethically and aims to embed sustainability in its business operations by ensuring compliance of significant environmental standards at the production facility. The Company has ensured, a premier culture of health and safety, is prevalent among its employees, customers, suppliers, and other stakeholders. The employees have been trained and made proficient to perform exposure assessments and monitor the organizational environmental setting to develop and analytically review the environmental assessment. The company is able monitor and analyze hazards to integrate health protection strategies within the workplace and to promote and advance the goal of a comprehensive work environment. The EHS Committee has been proactively working towards ensuring that company’s Health and Safety activities are complacent with the direction and guidelines the board has specified for us. The committee ascertains implementation of standard policies and procedures so that greenhouse gas emissions across all operations are constrained. Moreover, the committee provides recommendations for improvement which are subsequently approved by the management. In addition to the financial benefits that the company has accrued from increased competitive advantage and innovation, company has been able to make significant cost savings through environmental sustainability related operational efficiencies Company’s products and related supply chain are assiduously reviewed by company's committed team to assure health and safety across the life cycle of a product. Staunch product and quality standards, identified developed, and maintained by the committee to ensure premier quality, are followed. Sustainability driven measures are meticulously put in place by the committee to ensure the health and safety of the organizational ecosystem. The company has been endeavoring to meet environmental, health and safety practices, implementing various energy conservation measures including improved operational strategies, commencing products with low emissions, installing 1MW solar grid and installing state of the art equipment for the protection of the environment. Significant water recycling and other initiatives have also been introduced to move closer to zero waste objective.

1.13 CEO’s Message:

We at Sadaqat Ltd believe in only providing the best. We also believe in challenging ourselves to strive for excellence! We are continuously innovating to improve our systems, services, processes and quality of our products. It is due to this consistent dedication towards innovation that we have gained our success, name and credibility in the home textiles industry.

Sadaqat Ltd, founded in 1951; is, today, a diversified company with sales of over 150 million US dollars. Our management team consists of the best to offer the organization, and our competent and dedicated workforce ensures that all our customer needs are met to their complete satisfaction.

CHAPTER NO.02

ORGANAZATIONAL STRUCTURE:

Company Information:

Sr. No	Name	Designation
1	Khurram Mukhtar	CEO
2	Shoaib Mukhtar:	Director
3	Hamid Mukhtar:	Director
4	Awais Mukhtar:	Director
5	Syed Ahmad Ashraf	Independent Director
6	Muhammad Iqbal Gori	Director Finance & Strategy
7	Maleeha Humayun Bangash:	Independent Director
8	Humayun Shahzad:	Chief Financial Officer
9	Basharat Hashmi:	Company Secretary

Board of directors control these four committees.

2.2 Audit Committee:

Sr. No	Name	Designation
1	Syed Ahmad Ashraf	Chairman
2	Hamid Mukhtar	Member
3	Awais Mukhtar	Member

The audit committee represents the Board of directors and is the central part of corporate governance. Audit Committee of the Company comprises of three members, and chairman of the committee is an Independent Director. Audit Committee ensures the transparency and accountability by focusing on risk matrix identifying the strategic, financial, regulatory and compliance risks of the Company. The risk matrix is periodically updated and used to address and devise the audit strategy to mitigate those risks while considering the efficiency and effectiveness of internal controls linked to them. Primarily the audit committee provides administration of the financial reporting process, the audit process, the Company's system of internal controls and compliance with laws & regulations. Moreover, the committee reviews significant accounting and reporting issues and recent professional and regulatory pronouncements to understand the potential impact on financial statements. The Audit Committee ensures that a sound system of financial and operational control is in place. Internal financial controls are adequately positioned and working adequately. The Audit Department follows a risk-based approach in its audit plan, including compliance with relevant statutory requirements. The department, review legal matters which may significantly impact financial statements, all related party transactions, monitoring compliance with the best practices of corporate governance, and investigating any violations thereof.

2.3 Human Resource & Remuneration Committee:

Sr. No	Name	Designation
1	Maleeha Humayun Bangash	Chairman
2	Shoaib Mukhtar	Member
3	Hamid Mukhtar	Member

The Human Resource & Remuneration (HR & R) Committee performs its functions following the terms of reference as determined by the Board of Directors. The HR&R committee comprises of three members, and the chairman of the committee is an independent director. The Committee meets at least once annually or at such other frequency as the Chairman may determine. Proper minutes of the meeting of the committee was also kept and retained in the Company's records.

- **Salient Features and Terms of Reference:**

- Ensure that adequate policies and procedures related to HR Management are in place and implemented.
- effectively while ensuring that these remain within the framework country's laws and regulations.
- Recommendation to the Board for consideration and approval of a policy framework for determining the remuneration of directors and members of senior management.
- Review and recommend the training & development and the succession planning for critical positions, including the role of the Chief Executive Officer.
- Review and recommendation on corporate objectives related to the human resources of the Company.
- Human resource management including review and recommendation, selection, evaluation and
- compensation (including retirement benefits) of the Chief Executive Officer, the Chief Financial Officer, the Company Secretary and the Head of Internal Audit.
- Annually undertaking a formal process to evaluate the performance of the Board as a whole and its committees either directly or by engaging an independent external consultant.
- Review the audit observations, if any, raised by the internal/external auditors of the Company relating to HR management.
- Review and recommend for Board approval, the Human Resources strategy, including key HR objectives, plans and workforce requirements and also monitor the implementation of same.
- Review and make recommendations to the Board for approval of new or revised salary structures and incentive plans.

2.4 Risk Management Committee:

Risk Management Committee has been formed by the Board of Directors comprising of three (03) members which comply with code of corporate governance. The committee identifies and proposes strategies to mitigate risks in accordance with a well-structured risk management process, executes the review of the effectiveness of risk management procedures and present a report to the Board. The company carries out deals in several currencies and multiple geographical locations; therefore, risk identification and mitigation are essential for long term sustainability.

Sr. No	Name	Designation
1	Hamid Mukhtar	Chairman
2	Maleeha Humayun Bangash	Member
3	Syed Ahmad Ashraf	Member
4	Mohammad Iqbal Ghori	Advisor
5	Humayun Shahzad	Advisor

- **Salient Features and Terms of Reference:**

- Review and monitoring of all material controls including financial controls, operational controls and compliance controls.
- To ensure the integrity of financial information and implement robust risk mitigation measures.
- To ensure the Company's' risk framework and internal control system are appropriately disclosed in the Director's report.
- Review risk exposure and recommend the risk appetite of the Company board’s approval and supervise the process to identify potential risks & their impacts and implement appropriate procedures to mitigate those risks.
- Review and recommend the Board design and implementation of risk management strategies along with the procedures to monitor the adequacy and effectiveness of those strategies.
- Recommend risk management policy for the approval of the Board of Directors.

2.5 Nomination Committee:

Sr. No	Name	Designation
1	Hamid Mukhtar	Chairman
2	Khurram Mukhtar	Member

3	Shoaib Mukhtar	Member
4	Awais Mukhtar	Member

The Board of Directors of the Company constitute a nomination committee consisting of four (04) members, including the chairman of the committee. The nomination committee is responsible for considering and making recommendations to the Board in respect of the Board committees and the chairmanship of the relevant committees.

The nomination committee is also responsible for regularly reviewing the structure, size and composition of the Board and recommend to the Board concerning any necessitous changes. The nomination committee performs its functions according to the terms of reference duly permitted by the Board of Directors.

2.6 Organization Departments:

Sr. No	Company Department
1	Accounts Department
2	Taxation Department
3	Finance Department
4	Audit Department
5	Export Department
6	Marketing Department
7	Operation Department
8	Engineering department
9	Information Technology Department

10	Quality Control & Assurance Department
11	Operations-Made Ups Department
12	Procurement Department

2.6.1 Accounts Department:

Accounts department head by Mr. Jasim Ayoub General Manger (GM) Accounts and other managers like Senior, deputy, Assistant managers also lead the accounting activities. Accounts department is important and responsible dept. in Sadaqat Ltd. Accounts dept. maintain and record all the transaction held during the financial period. All the transaction includes Import, Export, Local buying and selling, staff salaries, direct or indirect Expenses and many more things include in this perspective.

2.6.1.1 Function of Account Department:

- Recording Accounts,
- Paying Bills
- Billing Clients and Customers
- Tracking Assets and Expenditures
- Managing Payroll and Keeping Track of Critical Tax Documents

2.6.2 Taxation Department:

Taxation department include Sales/Income Tax dept. Both are responsible for maintain tax figures during the financial year. At the end of financial year must provide the proper evidence for file the return to the Federal bureau of Revenue (FBR) Both dept. maintain the sales tax or income tax invoices throughout the financial period.

2.6.2.1 Function of Taxation Department:

- Ensuring Tax Compliance
- Defending A Company's Interests as A Taxpayer
- Tax Planning and Forecasting
- Preparing Tax Reporting

2.6.3 Finance Department:

Finance department head by Mr. Humayun Shahzad Chief Financial Officer (CFO). Many other managers and competent staff. This dept. gets much importance in company. All the financial transactions are strictly watched by this dept.

Looking forward, the finance department will work with managers to prepare the organization's budgets and forecasts, and to report back on the progress against these throughout the year. This information can be used to plan staffing level, asset purchases and expansions and cash needs, before they become necessary. Some organization often 'Plan' by the seat of their pants, while organization know it is important to have some idea of where you want to go before you start going there.

2.6.3.1 Function of Finance Department:

- Cash Management and Investments
- Purchasing And Budget Preparation.
- Accounting And Reporting
- Accounts Receivable, Accounts Payable, Payroll, Cash Receipts Management

2.6.4 Audit Department:

Audit department heads by Mr. Naeem Haider (GM Audit) and Mr. Peer Muhammad (Manager Audit). Along with the team of auditors and Assistant auditors. Audit dept. is responsible for overseeing the procedures and accuracy of recordkeeping and accounting functions within that company. The audit department conducts periodic audits; typically, with a much greater emphasis on detail that of a company's independent public accountants.

2.6.4.1 Function of Audit Department:

- Determine Compliance with Policies and Procedures
- Assess The Quality of Internal Controls
- Evaluate The Quality of Risk Management
- Evaluate Compliance with Rules and Guidelines Established by Regulatory Agencies (E.G., Securities and Exchange Commission)
- Assess Compliance with Accounting Standards, Whether Issued by the Financial Accounting Standards Board Or Government Accounting Standards Board or Other
- Review The Effectiveness and Security of Information Technology Systems
- Review The Strength of The Code of Ethics and Actions to handle violations
- Provide Additional Oversight to Internal Accounting Practices That External Auditors May Not Focus On
- Opine On the Quality of Work of External Auditors
- Verify Physical Assets and Inventory
- Investigate Employee Complaints and Alleged Fraudulent Activities

2.6.5 Export Department:

Export department heads by Mr. Muhammad Ijaz (Director Export Doc) and along with the Manager Export doc and Manager Logistics. This dept is responsible for all the activities related to export and logistics activities regarding company. Export managers serve as intermediaries between foreign buyers and domestic sellers. Unlike export traders, who buy the products before Selling directly to foreign buyers, export managers find buyers internationally for domestic product manufacturers.

2.6.5.1 Function of Export Department:

- They are in charge of the export of products and services
- The export department is responsible for monitoring the overseas markets and arranging items based on their orders.
- They also have the required facilities and export employees on hand to properly conduct export marketing efforts.

2.6.6 Marketing Department:

Marketing department heads by Mr. Choudhry Akram (GM Accounts) along with his competent team. Sadaqat Ltd. Also promotes their products at international level through the Sadaqat Sleep world (International) and Sadaqat Global very efficiently. A marketing department promotes company and drives sales of its products. It provides the necessary research to identify company target customers and other audiences. The Marketing department plays a vital role in promoting the business and mission of an organization.

2.6.6.1 Function of Marketing Department:

Price: The marketing division sets the right pricing strategy for the products sold.

Promotion: The marketing division is responsible for informing and persuading consumers to buy the company's products.

Location: The marketing division manages how the product reaches the customer.

2.6.7 Operation Department:

Operation department heads by Mr. Naseeb Gujar (GM operation) and along with two Director General Managers. Manager of product planning and control also contribute. Department works hard to develop the products of Sadaqat Ltd. This department supervises the 32 stitching units. Operation management refers to the administration of business practices to create the highest level of efficiency possible within an organization. It is concerned with converting materials and labor into goods and services as efficiently as possible to maximize the profit of an organization.

2.6.7.1 Function of Operation Department:

The main function of operation department is to deal all outside parties.
Such as

- Vendors.
- Close Those Employee Account Who Rising.
- Public Dealing Salaries of Employee.
- Poste The Transaction on SAP And Oracle Which Link with Outside of The Organization.
- Check Transport Inworld Outworld.
- Handle All Bills.

CHAPTER NO. 03

PRODUCTS & SERVICES

3.1 Home Textile:

Home textile products encompass all home furnishing needs and are designed to compete for the latest trends and fashion vibes. The Home textile products include the following categories:

3.1.1 Filled Bedding:

- Fitted sheet or flat bottom sheet.
- Top sheet.
- Pillowcases.
- Comforter, duvet, quilt, or blanket.
- Mattress pad (optional)
- Decorative linens (optional)
- Decorative pillows (optional)

3.1.2 Towel:

Although often used for drying off after being in the water, its main purpose is to provide a surface on which to lay down. They are also worn for privacy while changing clothes in a public area, and for wiping sand from the body or objects. A bath sheet (or sheet towel) is larger than a bath towel.

3.1.3 Table Linen:

The basic function of a tablecloth is to protect the table underneath it from being scratched, stained, or damaged in some way, but they may also be used for decoration. By placing the tablecloth on the table in a certain way and by coordinating with other items on the table, a unique dinner setting can be achieved**.**

3.1.4 Curtain:

Curtain, in interior design, decorative fabric commonly hung to regulate the admission of light at windows and to prevent drafts from door or window openings. Curtains, usually of a heavy material, arranged to fall straight in ornamental folds are also called draperies. Portieres are heavy curtains hung in a doorway.

3.2 Apparel:

Designing products according to the fashion flow of the target countries have helped the Company to increase the exports. The garment products include the following categories:

3.2.1 Woven Apparel:

These woven are mainly used for shirts, jackets and trousers in menswear, but also for ladies blouses. These textiles are characterized by a high degree of stability and a smooth and even surface.

3.2.2 Knitted Apparel:

Knit fabric is commonly used in the manufacture of clothing such as T-shirts, sweatshirts, and leggings. Its stretchiness and softness make it comfortable to wear, and it is often preferred for casual wear.

3.3 Position within the Value Chain:

The Company has control over the major value addition segments of the textile supply chain especially since it has initiated backward integration projects of spinning and weaving to achieve business synergies, corroborate excellence and deliver high value. Upstream are the activities of the supply chain that precede the value addition by the Company.

3.3.1 Ginning:

Cotton ginning is essentially a two-stage mechanical process of removing gin trash (stems, burrs, soil, and other debris) from cotton bolls and separating the cotton fibers from the seed.

3.3.2 Spinning:

Spinning is the process of winding together drawn-out strands of fibres to form a yarn. It is a major part of the textile industry. Spinning is used in manufacturing various textile fibres. The different types of spinners used in the textile industry are Ring, Rotor and Air-jet spinners.

3.3.3 Knitting:

Knitting is a process of using long needles to interlink or knot a series of loops made by one continuous thread. Each loop or knot connects to another one, and when enough loops have been made, the result is a flat piece of material called a textile.

- Processing
- Stitching (Cut to Pack)
- Finishing
- Storage
- Transportation
- Sale to Customer

3.4 Production Capacity:

Knitting	350000 dozen per month.
Dyeing	400,000 dozen per month.
Packing	400,000 dozen per month
Minimum order Quantity	2500 dozens (variable as per terms)
Minimum Lead Time	45-60 days after approvals

CHAPTER NO.04

PRACTICAL EXPERIENCE:

4.1 My Learnings:

My appointment as internee in accounts department for the purpose of clear the pendency's of reconciliation with vendors. By following the below process, I complete my tasks within given period. Through this company clear many dues which is pending many months or years

- Complete analysis of vendor and Sadaqat ltd ledgers.
- Match the vouchers and invoices on both sides.
- Mention the missing bills and vouchers.
- Also mention the payments and dues.

After completing the above process separate

- The pending cheques Debited by STM but Not Credit by Party.
- The pending bills and bill differences Debited by Party but Not Credit by STM
- Bills credited by STM but not debit by Party.
- Cheques credited by party but not debit by STM.

During the internship period I have learned many things which cause value added in my skills.

I learned about reconciliation with vendor, many things related to ORACAL and SAP accounting software.

4.2 Bank Reconciliation:

During study in I.COM and Bs commerce level I only know about the bank reconciliation. But after completion of my internship, I also know about the reconciliation with vendor.

A bank reconciliation statement is a document that compares the cash balance on a company's balance sheet to the corresponding amount on its bank statement. Reconciling the two accounts helps identify whether accounting changes are needed. Bank reconciliations are completed at regular intervals to ensure that the company's cash records are correct. They also help detect fraud and any cash manipulations.

4.3 Format I use for reconcile vendor statement:

SADAQAT TAXITILE LIMITED

RECONCILATION STATEMENT

XY&Z CO

AS ON 31-12-2021

Balance as per STM Statement			
1 Debited by STM But Not Credit by Party			
1.1	Pending Chq	_	
1.2	Income Tax withheld	_	
1.3	Misc. Debit	_	
2 Debited by Party but Not Credit By STM			
2.1	Pending Bills	_	
2.2	Bill Difference	_	**Total**
3 Credited by STM But Not Debit by Party		_	
4 Credited by Party but Not Debit By STM		_	**Total**
	Reconciled balance as per STM		_
	Balance as per Party 17.09.2020		
	Difference		_

<u>Prepared by</u> **<u>Received by</u>** **<u>GM Accounts</u>**

<u>GM Audit</u> **<u>GM Purchase</u>** **<u>CFO</u>**

Vendor Acknowledgement

NOTES TO THE RECONCILIATION

1. Debited by STM But Not Credit by Party

1.1 Pending Cheques

Date	Description	Amount
	–	
	Total	

1.2 Income Tax Withheld

Date	Description	Amount
	–	
	Total	

1.3 Misc. Debit

Date	Description	Amount
	–	
	Total	

2. Debited by Party but Not Credit By STM:

2.1 Pending bills

Date	Description	Amount
	–	
	Total	

2.2 Bill Differences

Date	Description	Amount
	–	
	Total	

3. Credited by STM But Not Debit by Party:

Date	**Description**	**Amount**
	–	
	Total	

4. Credited by Party but Not Debit By STM:

Date	**Description**	**Amount**
	–	
	Total	

4.4 Ledger Procedure:

Ledger of STM "Purchase"

Date	**Particular**	**L.P**	**DR**	**CR**	**Balance**
28-01-22	To vendor		50,000		50,000
28-01-22	To vendor		45,000		95,000
28-01-22	To Cash			50,000	45,000
28-01-22	To cash			45,000	0

Ledger of Vendor "Sale"

Date	**Particular**	**L.P**	**DR**	**CR**	**Balance**
28-01-22	By STM			50,000	50,000
28-01-22	By STM			45,000	95,000
28-01-22	BY Cash		50,000		45,000
28-01-22	**By cash**		**45,000**		**0**

"As you see when purchase is debit sale is credit and vice versa, so we compare ledger debit side with credit side, in tally process we decoded the data in this form"

Red: (in tally process if any transaction or invoice are not match, they are considered in red)

Date	Particular	L.P	DR	CR	Balance
28-01-22	By STM			45,000	95,000

Date	**Particular**	**L.P**	**DR**	**CR**	**Balance**
28-01-22	To STM		50,000		50,000

Green: (in tally process if any transaction or invoice are match, they are considered in green)

Date	Particular	L.P	DR	CR	Balance
28-01-22	By STM			45,000	95,000

Date	Particular	L.P	DR	CR	Balance
28-01-22	To vendor		45,000		95,000

Yellow: (in tally process if any transaction or invoice are match but difference in amount they are considered in yellow)

Date	Particular	L.P	DR	CR	Balance
28-01-22	By STM			40,000	90,000

5,000 differences

Date	Particular	L.P	DR	CR	Balance
28-01-22	To vendor		45,000		95,000

Orange: (contra entry should be orange)

Date	Particular	L.P	DR	CR	Balance
28-01-22	By STM			50,000	50,000

28-01-22	To STM		50,000		0

CHAPTER No.05

SWOT ANLYSIS:

5.1 What is SWOT?

Swot analysis is a strategic planning and strategic management technique use to help an organization identify Strength, Weaknesses, Opportunities, and Threats related to Business competition and project planning. It is sometimes called situational assessment or situational analysis.

These are the Strength Weaknesses, Opportunities and Threats of Sadaqat textile limited.

5.2 Strengths

- Focused vision of consistent growth and market leadership.
- State-of-the-art production facilities.
- Advanced Enterprise Resource Planning (ERP) System.
- Strong Financial Position.
- Global presence & well-established distribution network.
- Established relationship with global customers.
- Diversified range of optimal quality products.
- Dedicated, proficient & innovatively contributive work force.
- Perspicacious and astute management.
- In-house power generation capacity.
- Clean energy paralleled with international standards.
- Transparent and unmatched corporate & sustainability reporting.

5.3 Weaknesses:

- Shortage of skilled labor at production facility.
- Labor intensive operations.
- Competitor’s strong distribution network hampering
- market share enhancement.
- Strong competition constraining pricing strategies.

- Slow release of textile policies and taxation refunds to textile industry.

5.4 Opportunities:

- Access new foreign markets to raise exports.
- Capture market share in new segments (Denim / Knitwear).
- Backward integration within the supply chain.
- Diversification of product range by targeting niche market.
- Explore rapidly growing E-Commerce market.
- Low-cost financing arrangements by SBP.
- Government support for export-oriented sectors.
- Incentives on import of new machinery.
- CPEC – Infrastructure development / New projects.
- Implementation of cheaper and greener energy source.
- GSP plus status (Duty free access to the European market).
- Significant increase in textile exports of Pakistan.
- Hiring of qualified staff to change business environment.

5.5 Threats:

- Fluctuation in exchange and interest rates.
- Significant competition from nimble and agile textile manufactures.
- Rising inflation leading to increase in cost of production.
- Continuous increase in energy cost (WAPDA / RLNG / Diesel).
- Inconsistent government policies for textile sector.
- Imposition of new taxes/duties and withdrawal of incentives to exporters.

5.6 Risk Management Policy:

The Company believes in managing risk and creating value from opportunities to remain competitive and ensure sustainable success in dynamic environment. The purpose of the risk management policy is to identify the risks and provide effective controls to mitigate the identified risks. The Company follows a rigorous approach to risk management and the Board has overall responsibility for the establishment & oversight of an effective risk management framework along with developing and monitoring risk management policy to determine the Company's level of risk tolerance. A strong monitoring practice is observed around risk tolerance to ensure that the Company is operating within the risk appetite.

Risk management policy of the company provides a mechanism for identification of risks and mitigating strategies to minimize the negative impacts of key risks areas including market, operational, financial, strategic, commercial, political and other risks along with the nature of their impact and likelihood of occurrence. On the other hand, opportunities are grabbed at the right time through effective utilization of human resources, deployment of technical expertise, financial soundness, efficient manufacturing, relationship management and intellectual capital in alignment with designed policies and targets.

5.7 Types of Risk:

5.7.1 Strategic Risk:

Strategic risks arise from the formation of company's strategic objectives and business strategy decisions which may impact the execution of implemented plans.

5.7.2 Commercial Risk:

Commercial risks are associated with the commercial substance of an organization which may result in reduction of entity's market share and reduction of profitability.

5.7.3 Operational Risk:

Operational risks are caused by internal operational and administrative factors
adversely impacting the organization. Financial Risk: Financial risk generally relates to the liquidity and credit position of the company.

5.8 Risk Governance:

The Board through its committees performs the oversight function and has delegated the
responsibility to monitor and control the risks to the management. The Board members have diversified skills, knowledge, and experience, which enable them to identify and manage the key risks that are likely to arise. BOD has also implemented an effective ongoing process to identify & assess business risk that could threaten the business model, future performance, solvency or liquidity of the company. Risk management committee plays its important role by reviewing and supervising the risk identification process, risk exposure and risk appetite of the Company and recommends risk mitigation strategies.

Human resource & remuneration committee focuses on the risks related to compensation programs and succession planning to ensure availability of competent resources at all time. The audit committee monitors the company's overall risk management, primarily focusing on financial and regulatory compliance risks and continuously seeks to refine risk assessment and management process. The company has a dedicated internal audit function which provides independent and objective evaluations while reporting directly to the audit committee on the effectiveness of governance, risk management and control processes.

The board identifies key risks, their tolerance level and their influences on organization's value creation in short, medium and long term to achieve goals that are directly associated with overall performance of the company. The management has designed risk matrix that highlights the impact, likelihood and magnitude of each risk along with the formulation of risk mitigation strategies which is reviewed and updated regularly.

5.9 Types of Opportunity:

5.9.1 Market Opportunities:

Exponential growth in population of the world and overall increase in exports of Pakistan has resulted in increasing demand of home textile and garments products. This reflects a huge opportunity for the Company and it intends to capture major market share.

5.9.2 Human Resource Opportunities:

Due to a comparatively lower wage rate and high unemployment, organizations in Pakistan can access to less costly and readily available labor.

5.9.3 Technological Opportunities:

During the recent years, businesses are going digital due to wide availability of internet connectivity and increasing trend among people towards online purchases. This is creating opportunity for companies including Sadaqat Limited to expand its sales through online segment.

5.10 Competitors:

Sadaqat Limited is operating under great competition environment, there are many companies which produce the socks in different colors and different types. Following are some competitors of Sadaqat Limited. which include exporters, manufacturers, traders and business entities working in Faisalabad.

Sr. No	Name	Address
1	Interloop (PVT) Ltd.	01 km Khurrianwala Jarranwala Road Faisalabad
2	New Karim Hosiery	Main Bazar, Ayub Colony, Jhung Road Faisalabad.
3	UA International	P-28, Sir Sayed Town, Quaid-e-Azam Market, Flat Road, Peoples chowk Faisalabad
4	Himalaya Weaving & Hosiery	Himalaya road, Peoples Town, Near Fatima Masjid Faisalabad.
5	New Light Hosiery (PVT) Ltd.	Street no.5 Afghanabad no.2 Faisalabad.
6	Paris Hosiery & Garment	02-KM, Jhang Road, P.O. Box:309, Near Grave Yard Faisalabad.

CHAPTER NO.06

FINANCIAL STATEMENT ANALYSIS:

6.1 Financial Ratios:

Financial ratios are created with the use of numerical values taken from financial statements to gain meaningful information about a company. The numbers found on a company's financial statements balance sheet, income statement, and cash flow statement are used to perform quantitative analysis and assess a company's liquidity, leverage, growth, margins, profitability, rates of return, valuation, and more.

Users of financial ratios include parties external and internal to the company:

- **External users:** Financial analysts, retail investors, creditors, competitors, tax authorities, regulatory authorities, and industry observers
- **Internal users:** Management team, employees, and owners

6.2 Liquidity ratios:

Liquidity ratios are financial ratios that measure a company's ability to repay both short- and long-term obligations. Common liquidity ratios include the following:

6.2.1 Current Ratio:

The current ratio measures a company's ability to pay off short-term liabilities with current assets.

Current ratio = Current assets / Current liabilities

2020	2021	2022
163508394853/1533569039	17511086090/16678051323	21508787523/21949642577
1.05	1.04	=0.97

6.2.2 Debt To Equity Ratio:

The debt to equity ratio calculates the weight of total debt and financial liabilities against shareholders' equity.

Debt to equity ratio = Total liabilities / Shareholder's equity

2020	2021	2022
46739271651/172987654	36143618698/15587662400	52398214676/24099151854
2.38	2.31	2.17

6.2.3 Coverage Ratio:

The interest coverage ratio shows how easily a company can pay its interest expenses:

Interest coverage ratio = Operating income / Interest expenses

2020	2021	2022
422378943/367896352	4039890914/398765421	3718073104/532578579
9.14	10.13	6.9

6.3 Efficiency ratios:

Efficiency ratios, also known as activity financial ratios, are used to measure how well a company is utilizing its assets and resources.

6.3.1 Asset Turnover Ratio:

The asset turnover ratio measures a company's ability to generate sales from assets.

Asset turnover ratio = Net sales / Average total assets

2020	2021	2022
378743267/29765412	32968971653/36143618698	37635414791/52398214676
0.79	0.91	0.71

6.3.2 Inventory Turnover:

The inventory turnover ratio measures how many times a company's inventory is sold and replaced over a given period.

Inventory turnover ratio = Cost of goods sold / Average inventory

2020	2021	2022
242786341/647398241	26383612020/6610312897	31033307858/8227172920
4.03	3.99	3.77

6.3.3 Accounts Receivable Turnover:

The accounts receivable turnover ratio measures how many times a company can turn receivables into cash over a given period:

Receivables turnover ratio = Net credit sales / Average accounts receivable

2020	2021	2022
51901362/28613257	5613913799/21213822	7391072469/16788114
255.0	264.0	440.0

6.3.4 Days Sales in Inventory Ratio:

The days sales in inventory ratio measures the average number of days that a company holds on to inventory before selling it to customers.

Days sales in inventory ratio = 365 days / Inventory turnover ratio

2020	2021	2022
365/4.03	365/3.99	365/3.77
82.90	91.47	96.81

6.4 Profitability Ratios:

Profitability ratios measure a company's ability to generate income relative to revenue, balance sheet assets, operating costs, and equity. Common profitability financial ratios include the following:

6.4.1 Gross Margin Ratio:

The gross margin ratio compares the gross profit of a company to its net sales to show how much profit a company makes after paying its cost of goods sold:

Gross margin ratio = Gross profit / Net sales

2020	2021	2022
6187532191/309283747	6585359633/32968971953	6602106933/37635414791
0.20	0.19	0.17

6.5 Vertical Analysis:

Vertical analysis compares each amount with a base amount selected from the year.

6.5.1 Formula of Vertical Size Analysis:

For income statement = each amount divided/net sales or revenue

Sadaqat Limited

Statement of Profit and Loss A/c

For the year ended 30 June 2022

Particular	2022	2021	2020
Revenue from sale	100	100	100
Cost of revenue	0.82	0.80	0.72
Gross profit	0.17	0.19	0.18
Selling expense	0.04	0.06	0.07
Administrative expense	0.03	0.05	0.06
Other expense	0.01	0.03	0.04
Other income	0.00058	0.00098	0.0001
Operating profit	0.077	0.077	0.078
Finance cost	0.035	0.041	0.045
Profit before taxation	0.041	0.050	0.049
Taxation	0.011	0.018	0.020
Profit for the year	0.030	0.043	0.042
Earning per share basic diluted	2.33	2.91	3.02

6.6 Vertical Analysis of Balance Sheet:

Vertical analysis is a kind of financial statement analysis wherein each item in the financial statement is shown in the percentage of the base figure.

Formula:

Balance sheet item/Total assets

Sadaqat Limited

Statement of Financial position

For the year ended 30 June 2022

Particular	**2022**	**2021**	**2020**

Assets			
Property plant and equipment	58	51	58
Intangible assets	1	0.8	0.5
Long term deposits	0	0	0
Non-Current assets	59	52	
Store spare and loose tools	2.4	2.3	2.0
Stock in trade	15.9	18.3	17.0
Trade debts	14.1	15,5	11.0
Loans and advances	1.6	1.9	2.0
Trade deposits and short-term prepayments	0.1	0.1	0.1
Balances with statutory authorities	1.4	4.3	2.0
Other receivables	0.0	0.1	1.0
Tax refunds due from govt	4.5	5.7	5.0
Cash and bank balance	0.9	0.3	1.0
Total Assets	100	100	100.0
Equity and liabilities			
Issued subscribed and paid-up capital	9.4	6.8	9.0
Director loan	0.1	0.2	0.0
Surplus on revolution of property plant and equipment	25.2	19.0	24.0
Unappropriated profit	11.3	17.2	18.0
Long term financing	11.9	10.2	7.0
Lease liabilities	0.1	0.3	0.2
Long term deposits	0.1	0.1	0.2
Differed liabilities	-	0.2	0.1

Current Liabilities	41.9	46.1	
Trade and other payables	11.5	13.4	10.0
Contract liabilities	0.8	0.7	0.0
Interest accrued on loans	0.6	0.5	0.4
Short term borrowings	26.6	29.1	29.0
Derivative financial liability	0.0	0.0	0.0
Current portion of non-current liabilities	2.3	2.4	2.0
Total equity and liabilities	100.0	100.0	100.0

6.7 Horizontal analysis of balance sheet:

In horizontal analysis for balance sheet each item is divided by selected base year.

Formula:

Balance sheet item/base year*100

Sadaqat Limited

Statement of Financial position

For the year ended 30 June 2022

Particular	**2022**	**2021**	**2020**
Assets			
Property plant and equipment	-	-	100.0
Intangible assets	1	0.8	100.0
Long term deposits	0	0	100.0
Non-Current assets	59	52	
Store spare and loose tools	2.4	2.3	100.0

Stock in trade	15.9	18.3	100.0
Trade debts	14.1	15,5	100.0
Loans and advances	1.6	1.9	100.0
Trade deposits and short-term prepayments	0.1	0.1	100.0
Balances with statutory authorities	1.4	4.3	100.0
Other receivables	0.0	0.1	100.0
Tax refunds due from govt	4.5	5.7	100.0
Cash and bank balance	0.9	0.3	100.0
Total Assets	100	100	100.0
Equity and liabilities			
Issued subscribed and paid-up capital	9.4	6.8	100.0
Director loan	0.1	0.2	100.0
Surplus on revolution of property plant and equipment	25.2	19.0	100.0
Unappropriated profit	11.3	17.2	100.0
	12.1		
Long term financing	11.9	10.2	100.0
Lease liabilities	0.1	0.3	100.0
Long term deposits	0.1	0.1	100.0
Differed liabilities	-	0.2	100.0
Current Liabilities	41.9	46.1	
Trade and other payables	11.5	13.4	100.0
Contract liabilities	0.8	0.7	100.0
Interest accrued on loans	0.6	0.5	100.0
Short term borrowings	26.6	29.1	100.0

Derivative financial liability	0.0	0.0	0.0
Current portion of non-current liabilities	2.3	2.4	100.0
Total equity and liabilities	100.0	100.0	100.0

6.8 Horizontal Analysis of Profit and Loss Account:

Sadaqat Limited

Statement of Profit and Loss A/c

For the year ended 30 June 2022

Particular	2022	2021	2020
Revenue from sale	14	62	100
Cost of revenue	18	51	100
Gross profit	0.3	81	100
Selling expense	19	118	100
Administrative expense	3	31	100
Other expense	14	705	100
Other income	617	98	100
Operating profit	14	53	100
Finance cost	69	17	100
Profit before taxation	10	145	100
Taxation	32	59	100
Profit for the year	20	180	100
Earnings per share basic diluted	20	180	100

CHAPTER NO. 08

SUGGESTION & RECOMMENDATION

1. The company should improve its salary system to motivate the salary workers on time.
2. The company should have a separate organized marketing department.
3. The company should introduce products with its own brand name.
4. The decision-making process should be decentralized. Middle and lower level management should participate in decision making.

5. Management should fully fulfill its task and also monitor it.
6. The company should control its unnecessary emissions by not starting such projects which have no better benefit.
7. The company should also contact the countries to which it is not selling its products
8. The company should start its own “chain of apparel stores”.
9. There should be a standard in the company for promotions, increments and other benefits and promotions should be based on performance.
10. The company should introduce forklift for indoor logistics.
11. The company should construct a dispensary for workers on the premises.
12. A company should try to capture small customers while relying on large customers.
13. The company should try to promote all thinking among employees, not just departmental thinking.
14. Company should try to create inter-departmental coordination and harmony.
15. The company should try to control wastage of clothes and other items. This reduces the cost of production.
16. The company should try to expand its customer portfolio by increasing marketing efforts.
17. Keeping the environment clean and checking it on daily bases so that there is no problem during the audit.
18. Supervisors should not talk hardly with their workers as this lowers their motivational level and some even leave the job.